

INFLATION* INTEREST RATE** EXCHANGE RATE*** GDP GROWTH 2008-09

4.5-5 7.5 Rs 39-40 7.5  2
 8
 9

5 8 Rs 41 8.4  2.5
 8.5
 10.3

4.5-5 7.8-8 Rs 40-41 8.5-9  NA
 NA
 NA

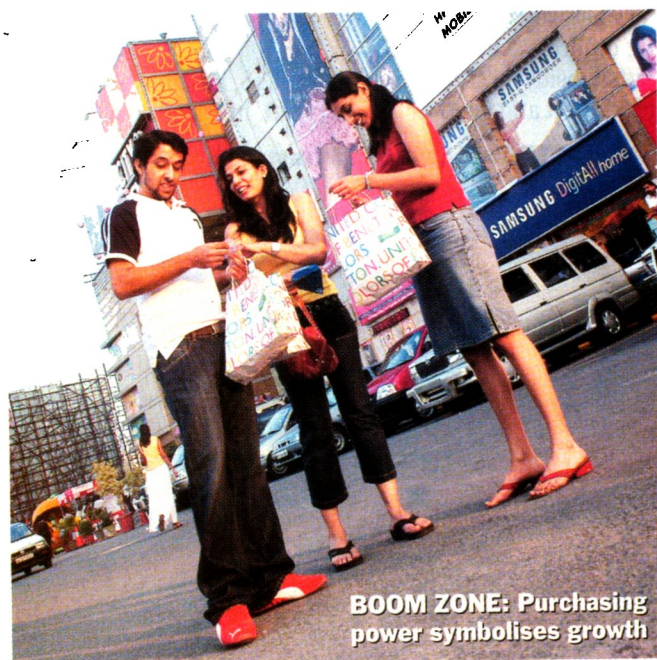
4.5 7.5 Rs 35 9.25  2.5
 9.4
 11

5 7.75 Rs 41.5 8  2.8
 8
 10

 Agriculture  Industry  Services

For the first time in history, they have tried to cool down an under-heated economy.

BIBEK DEBROY, PROFESSOR, CPR AND IMI



BOOM ZONE: Purchasing power symbolises growth

bers by companies, you need labour law reforms. We need to look at crop mix, pricing information and credit.

Gokarn: Despite the fiscal implications, I have been a lukewarm supporter of the NREGP. I think the principle of a widespread agricultural dole is absolutely central to any attempt at reforming agriculture—whether you reform it from the supply side through input subsidies and changing prices, or from the demand side by crop rationalisation and consolidation of land.

Acharya: I have a slightly different take on this. We need a breakthrough and that could be organised retail—whether it is domestic retail or the Wal-Mart kind. Organised retail could deliver but state governments don't see an incentive in encouraging this. It would have injected a new force in our agriculture, which has been near-stagnating for long.

What are the big inhibitors, THE CHALLENGES TO GROWTH?

Debroy: I would not call agriculture an inhibitor to growth, the way I would call infrastructure or something else. First, the PSUs, which, according to several studies, including those by Jeffrey Sachs and Nirupam Bajpai, impact GDP by 1 per cent. Take law reform—not statutory law reform but the entire legal structure—and the World Bank says it can lead to 1 per cent increment in GDP growth. Better infrastructure, says the National Manufacturing Competitiveness Council, can result in 1.5 per cent incremental GDP growth, out of which 1 per cent is only on account of the power sector. Finally, we have education and health. There is an ASCI study which says mortality and morbidity,